

If one approach will save \$100,000 in taxes, and another will save \$200,000, he will—quite rightly—aim for the greatest savings. He has no way of knowing what the family is really trying to achieve. The family itself often doesn't know.

The matriarch and the patriarch, the founders of the family dynasty-to-be, should agree on a vision for the future. It doesn't have to be precise. It doesn't even have to be articulated. But they need to agree on the fundamentals: who they are, what they want, how the family is going to live, and what will happen to the family assets in the next 5, 10, 20, 100 years.

Then the second generation gets involved. The children need to contribute to the discussion (even if it is *sotto voce*), sign on to the project, and understand what will be required of them.

There's a lot of work and responsibility involved in preserving and growing family wealth. If the children don't want to do it, you're out of luck. Or if they are unwilling to share the founders' ideas about how wealth should be controlled and used, the family money project is not likely to go far. But assuming the children buy into the program, the family can move ahead. You can set up the soft structures you need. And you can get lawyers and other professionals to create the hard structures.

Once the family determines collectively what it wants to accomplish, as well as the groundwork it wants to lay for future generations, then the lawyers can find the most appropriate ways these goals can be achieved.

There are many different hard and soft structures you might use. We'll tell you about ours. After four years of studying conventional family office governance, we've created our own soft structures plan. It's called the "endowment model."

It consists of the following soft structures:

- The Family Council
- A mission statement and constitution
- The family bank
- The investment committee
- An education and mentorship program
- The family philanthropic committee